9.2 Meaning of Liberalization, Privatization and Globalization (LPG)

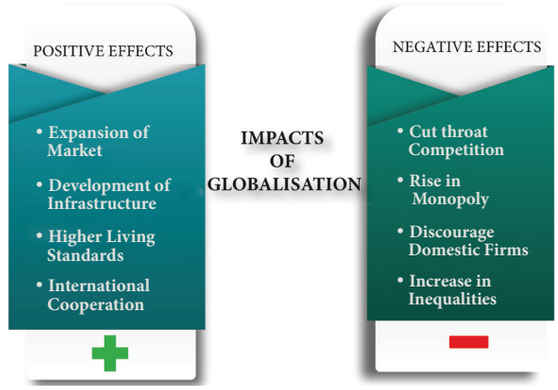


The triple pillars of New Economic Policy are Liberalization, Privatization and Globalization (LPG)

Liberalization: Liberalization refers to removal or relaxation of governmental restrictions in all stages in industry. Delicensing, decontrol, deregulation, subsidies (incentives) and greater role for financial institutions are the various facets of liberalization.

Privatization: Privatization means transfer of ownership and management of enterprises from public sector to private sector. Denationalization, disinvestment and opening exclusive public sector enterprises to private sector are the gateways to privatization.

Globalization: Globalization refers to the integration of the domestic (Indian) economy with the rest of the world. Import liberalization through reduction of tariff and non-tariff barriers, opening the doors



to Foreign Direct Investment (FDI) and Foreign Portfolio Investment (FPI) are some of the measures towards globalization.

9.3 Arguments in favour of LPG

a. Liberalization was necessitated because various licensing policies were said to be deterring the growth of the economy.

b. Privatization was necessitated because of the belief that the private sector was not given enough opportunities to earn more money.

c. Globalization was necessitated because today a developed country can grow without the help of the under developed countries. Natural and human resources of the developing countries are exploited by the developed countries and the developing economies are used as market for the finished goods of the developed countries. The surplus capital of the developed countries are invested in backward economies. Obsolute and outdated technologies of the developed

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